

INTRODUCTION

Every day in Canada, some citizens suffer harm as a consequence of personal, social, business, and governmental activities. The harm may be to their person, dignity, property, or wealth. Tort¹ law determines when the person who causes the harm must pay compensation to the person who suffers it. The answer to that question depends upon the nature of the conduct of the person who caused the harm, the nature of the harm suffered by the victim, and the circumstances in which the harm was inflicted.

This chapter addresses six matters. First, a typical torts case is considered to illustrate some of the characteristics of tort law and the nature of the civil litigation process. Second, reference is made to the origins of tort law. Third, consideration is given to the foundation elements of tort law. Fourth, reference is made to the objectives of tort law. Fifth, special attention is given to personal injury and fatality claims and how the remedies provided by the law of torts relate to other compensatory systems. Finally, consideration is given to the organization of tort law for the purposes of this book.

1 The word is not used colloquially. It comes from the French word meaning “wrong,” and its use is restricted to the legal system.

A. AN EXEMPLARY TORTS CASE

*Evaniuk v 79846 Manitoba Inc*² is not a well-known torts case. It is not referred to in any of the treatises on Canadian tort law.³ It does not make any special contribution to the development of the law of torts. It is, however, a good example of the kind of cases that Canadian lawyers routinely deal with and it provides a useful starting point for understanding the torts system.

The *Evaniuk* litigation arose from an incident in a Winnipeg bar. Ms Evaniuk was sitting in the bar with her girlfriend. She noticed that her brother, who was sitting at an adjacent table, was kissing Ms Fuerst, a waitress at the bar. Ms Evaniuk warned her brother that he had better watch what he was doing because his wife would be arriving in a few minutes. Ms Fuerst responded by throwing a full glass of liquid over Ms Evaniuk. A heated exchange took place between the two women until two bouncers, employed by the bar, intervened. They took hold of Ms Evaniuk, forcibly removed her from the premises, and threw her into the parking lot. She fell heavily and was injured.

1) Criminal Law and Tort Law Contrasted

Ms Evaniuk's first response to this incident was to go to the local police station to lodge a complaint. The bouncers may well have committed the crime of assault causing bodily harm. A criminal prosecution is, however, independent of any tort litigation,⁴ and the characteristics of the criminal process are distinct from those of the tort process in three important ways.

First, the main function of the criminal law is to punish those who have committed offences under the *Criminal Code*.⁵ The punishment is designed to prevent a repeat offence by the defendant and to deter other citizens from similar anti-social conduct. Consequently, the criminal process focuses primarily on the offender, his conduct, and,

2 (1990), 68 Man R (2d) 306 (QB).

3 See, for example, GHL Fridman, *The Law of Torts in Canada*, 3d ed (Toronto: Carswell, 2010); LN Klar & CSG Jefferies, *Tort Law*, 6th ed (Toronto: Thomson Reuters, 2017); and AM Linden et al, *Canadian Tort Law*, 11th ed (Toronto: Lexis-Nexis, 2018) [Linden et al].

4 Probably the most famous illustration of the independence of the criminal process from the tort process arose from the deaths of Nicole Brown Simpson and Ronald Goldman. OJ Simpson was acquitted of all criminal charges relating to their deaths but was found liable in tort and ordered to pay substantial damages.

5 RSC 1985, c C-46.

if he is found guilty, an appropriate punishment. Tort law provides a significant contrast. The focus of tort law is primarily on those who have suffered injury or damage as a consequence of either criminal or non-criminal conduct and their interest in receiving compensation for their losses.

Second, the administration of the criminal justice system is a community responsibility. Prosecutions are brought, almost exclusively, by a branch of government. Tort litigation is brought at the initiative, and at the expense,⁶ of the person who has suffered the loss. The reason for governmental involvement in the administration of the criminal law is that the maintenance of public order and safety has a much higher social priority than the compensation of persons who have suffered injuries or damage.

Third, the burden of proof in criminal law is a heavy one. The prosecutor must establish the guilt of the accused beyond a reasonable doubt.⁷ This high standard of proof is appropriate given the emphasis of the criminal law on punishment and the accused person's possible loss of freedom upon conviction. The emphasis on compensation in tort law supports the use of the civil burden of proof that requires the plaintiff to prove their case on the balance of probabilities. The plaintiff must show only a 51 percent likelihood that the facts of the case are as they allege.⁸

It is not known whether the two bouncers in the *Evaniuk* case were prosecuted criminally but, in any event, a criminal prosecution could not provide a compensatory remedy to Ms Evaniuk.⁹ That must be sought under the law of torts.

2) The Tort Litigation

The most serious of the injuries that Ms Evaniuk suffered were an aggravation to an existing back injury and an injury to her wrist. She retained a lawyer to assist her in recovering compensation for these injuries.

6 The successful litigant in tort litigation is normally awarded legal costs against the other party, but legal costs are normally insufficient to cover the full cost of the litigation.

7 For this reason, a criminal conviction may be used in a torts case as evidence of that wrongdoing.

8 The civil burden of proof also applies where the alleged tortious conduct would also be a crime. See *FH v McDougall*, [2008] SCJ No 54.

9 The *Criminal Code*, above note 5, contains provisions empowering a court to make a restitutionary order in favour of a victim but such orders are rarely made. See Klar & Jefferies, above note 3 at 48–49.

The first step in that process was to identify the particular tort that had been committed. Tort law is made up of a number of discrete wrongs with their own definitions and requirements.¹⁰ When the bouncers threw Ms Evaniuk out of the bar, they committed the tort of battery. Battery is defined as any direct and intentional interference with the person of another which is either harmful or offensive to a reasonable sense of dignity.¹¹ The bouncers' conduct clearly fits that definition. Moreover, there was no legal justification or defence for the conduct of the bouncers. A bar owner does have the right to ask a patron to leave a bar, and, if the patron does not leave within a reasonable time, they are deemed to be a trespasser and reasonable force (a battery) may be used to eject them. In this case, however, the bouncers did not ask Ms Evaniuk to leave before they ejected her, and, in any event, they used more than reasonable force when they threw her to the ground. They committed a battery that could not be justified on any lawful basis.

It is useful to note, in a preliminary way, that the function of a tort action such as battery is not exclusively to provide compensation to the plaintiff (Ms Evaniuk). A successful lawsuit against the two bouncers incidentally inflicts some measure of punishment for their wrongful conduct and that punishment may not only deter them from similar conduct in the future but may also deter other members of society from acting in a similar manner. To some extent, therefore, tort litigation complements the criminal law and seeks to influence the conduct of citizens. Tort liability also serves to identify and remedy the individual wrongdoing of the bouncers to Ms Evaniuk and correct the personal injustice suffered by her. It serves, also, to mollify Ms Evaniuk's anger and resentment over the humiliating way that she was treated and provides a civilized vehicle for her to secure a degree of vengeance against the bouncers. In addition, the tort action has an educational dimension, teaching litigants about requisite standards of conduct and the need to recognize and accommodate the legitimate interests of other persons. These various functions are commonly referred to as *compensation*, *punishment*, *deterrence*, *accountability*, *corrective justice*, *appeasement*, *vengeance*, and *education*. They are all legitimate functions of tort law.¹² Nevertheless, it is important not to lose sight of the fact that the

10 Each tort has its own formula of essential requirements that must be established by the plaintiff to prove their case. The metaphor of a recipe has been used to explain the need for the plaintiff to fit their case within the formula of a particular tort. All the ingredients must be established to secure success. See P Cane, *The Anatomy of Tort Law* (Oxford: Hart Publishing, 1997) at 2–10.

11 Battery is discussed in Chapter 4.

12 The objectives of tort law are discussed at greater length later in this chapter.

dominant motivation of most plaintiffs is to secure financial compensation. It is not likely that Ms Evaniuk would have commenced tort litigation without the expectation of receiving financial compensation for her injuries. It was, therefore, incumbent upon her lawyer at an early stage to address this most practical of issues. Would the two bouncers be able to pay an award of damages¹³ to the plaintiff?

Defendants in tort litigation must be worth suing. Defendants worth suing fall into three categories: people or institutions with liability insurance¹⁴ that permits the cost of the judgment to be spread among all of those who purchase liability insurance from the defendants' insurers (*insured defendants*); large corporations or governmental institutions that are able to absorb the cost of judgments by spreading it through the price of the goods and services they produce or, in the case of government, by spreading it through taxation (*self-insured defendants*); and uninsured persons or corporations who have personal wealth or assets sufficient to pay the judgment (*defendants with means*). As a rule, employees such as bouncers do not fall into any of these categories. They are not financially viable defendants. Consequently, although the bouncers committed the tort of battery, they were not sued by Ms Evaniuk. Tort litigation is influenced as much by practical realities as it is by legal principles.

The only potential defendant involved in the incident worth suing was the bouncers' employer, the corporation that owned the bar. A corporation is much more likely to fall into one or more of the three categories of financially viable defendants.¹⁵ Consequently, although its involvement was indirect, the sole defendant in the *Evaniuk* case was the employer/corporation.

13 It is important to distinguish between the words "damage" and "damages" in the context of tort law. Damage is the harm or loss that the defendant has caused the plaintiff. In most torts, damage is an essential element of liability. Damages refers to the amount of money awarded by the court to remedy the harm or loss suffered by the plaintiff.

14 Liability insurance is a contract in which the insurer, in exchange for the payment of premiums by the insured, undertakes to protect the insured from the adverse consequences of legal liability to third parties. The nature and extent of the liability insured against and the monetary limits of the protection are controlled by the terms of the policy. The Supreme Court discussed the scope of protection provided by an automobile insurance policy in *Citadel General Assurance Co v Vytlingam*, [2007] 3 SCR 373 and *Lumbermens Mutual Casualty Co v Herbison*, [2007] 3 SCR 393.

15 The corporation's liability insurance policy may have covered its potential liability arising from the incident. It would depend upon the precise wording of the policy.

A corporation can be found liable for the wrongdoing of its employees (the bouncers) on two grounds. First, if the corporation, as employer, fails to select, train, supervise, or control its employees with due care, it may be found *personally* liable to those who suffer loss as a consequence of that failure to exercise care. Second, the corporation may be found liable on the basis of *vicarious liability*.¹⁶ It is well established that an employer who is free from personal fault, is, nevertheless, vicariously liable for the torts of its employees, if the torts are committed within the scope of their employment. It was on this latter principle of vicarious liability that Ms Evaniuk's lawyer chose to base her claim. There was, however, a dispute between the parties as to whether or not the principle of vicarious liability was applicable to the case. The contentious point was whether or not the battery was committed within the scope of the bouncers' employment. The arguments were nicely balanced. On the one hand, the bouncers were responsible for the safety and security of the premises and for dealing with the kind of dispute that arose, and they handled their responsibilities poorly. On the other hand, the employer never expressly or impliedly authorized its employees to literally throw people out of its bar. In doing so, they, arguably, were going beyond their role as employees and were acting out of personal hostility to the plaintiff. It was this legal argument that, in all likelihood, prevented the case from being settled before trial.¹⁷ The trial was held before a judge alone. Tort trials before civil juries, where the judge resolves issues of law and the jury resolves issues of fact, are now common only in Ontario and British Columbia.

The judge resolved the case in favour of Ms Evaniuk. He found that the bouncers had committed an unjustifiable battery against her and the corporation was vicariously liable for the battery because the bouncers were carrying out tasks that they were employed to do, albeit in a wrongful manner. They were, therefore, acting within the scope of their employment. The judge awarded \$450 in special damages¹⁸ for Ms Evaniuk's pretrial expenses and losses and \$10,000 in general compensatory damages¹⁹ for the injuries that she suffered. The judge then considered the propriety of awarding punitive damages. Punitive damages are an additional sum of money designed to punish the defendant when his conduct has been particularly vicious, premeditated, high-handed, or disgraceful. It is a power that is exercised with some caution, but it

16 Vicarious liability is discussed in Chapter 5.

17 Over 90 percent of tort litigation is settled by agreement between the litigants.

18 Special damages compensate the plaintiff for losses arising before the trial. In most cases, they are susceptible of precise arithmetic calculation.

19 General damages compensate the plaintiff for future losses.

does clearly recognize the punitive and deterrent aspects of tort law. In this case, an award of punitive damages may have been appropriate against the bouncers personally but legal liability was imposed exclusively on the corporation. Since the management of the corporation had not encouraged or condoned the conduct of the bouncers, the judge declined to make an award of punitive damages.

This snapshot of the tort process not only describes some of the characteristics of tort law, but it also illustrates an unresolved tension that pervades a great deal of modern tort law. That tension is between the compensatory aspect of tort law, which emphasizes the plaintiff and her need for recompense, and the aspect of tort law that stresses the personal responsibility of wrongdoers and tries to integrate compensatory concerns with notions of deterrence, punishment, and accountability. The compensatory function of tort law is promoted by allocating the plaintiff's loss to the best loss distributor (an insured or a self-insured defendant). Personal responsibility for wrongdoing is promoted by allocating the loss to the primary wrongdoer. This tension is illustrated by the way in which the *Evaniuk* case was resolved by the tort system. Compensatory and loss distribution objectives were achieved by imposing liability on the corporation, but the attainment of other goals was thwarted because the primary wrongdoers, the bouncers, were left unaccountable.

B. THE ORIGINS OF CANADIAN TORT LAW

The origins of Canadian tort law lie in the thousand-year evolution of the English common law of torts.²⁰ The common law was received in all provinces other than Quebec²¹ and it has given Canadian tort law its language, concepts, and system of classification. Canada, along with the United States, Australia, and New Zealand, are all part of the common law tradition. This explains why Canadian judges continue to cite landmark English cases and are influenced to an increasing extent by American cases and, to a lesser extent, by Australian and New Zealand cases. Canada has, however, created a unique law of torts. It continues to reflect its origins and traditions but it is increasingly an independent

20 For a brief summary of the history of English tort law, see RM Solomon, M McInnes, & E Chamberlain, *Cases and Materials on the Law of Torts*, 8th ed (Toronto: Carswell, 2011) at 5–9. A detailed account can be found in CHS Fifoot, *History and Sources of the Common Law: Tort and Contract* (London: Stevens, 1949).

21 For a useful summary of the Quebec law of torts, see JL Baudouin & AL Linden, *Tort Law in Canada* (The Netherlands: Kluwer Law International BV, 2010).

product of Canada's societal values and attitudes to the allocation of losses.

C. THE ELEMENTS OF CANADIAN TORT LAW

As noted earlier, tort law is made up of a number of discrete, nominate (named) torts that provide remedies for some of the losses generated by a myriad of societal activities. These torts dictate when the loss will be allocated by an award of damages to the defendant and when it will be left where it has fallen—on the shoulders of the plaintiff. There is, nevertheless, a certain similarity to the structure of all torts. Most torts are formulated on the basis of the nature of the defendant's conduct and the nature of the plaintiff's loss that has been caused by that conduct.²² Tort law is about both conduct and consequences. The tort of battery, the basis of liability in the *Evaniuk* case, is illustrative. It requires *intentional* conduct that causes *bodily interference*. In combination, they are actionable. Tort law is, in large part, constructed on various combinations of these two elements and the causal link between them. These ideas of *conduct* and *loss* are the building blocks of the law of torts and, as such, they deserve some further preliminary attention.

1) The Nature of the Defendant's Conduct

The Canadian law of torts reflects an intuitive sense of fairness that a defendant should be held liable only for loss caused by a wrongful act, not for loss caused by an accident, an error of judgment, or bad luck. Tort law, therefore, classifies the conduct of defendants in a way that permits a line to be drawn between wrongful and innocent conduct. In general, three concepts perform this task: *intention*, *negligence*, and *accident*.²³ Each term describes the defendant's conduct with reference to its consequences.

Conduct is intentional when the defendant desires its consequences.²⁴ The professional hit man who assassinates a politician, the arsonist who sets fire to a building, the political candidate who falsely calls their rival a racist, and the person who discloses intimate and

22 See C Sappideen & P Vines, eds, *Fleming's Law of Torts*, 10th ed (Sydney: Law Book Co, 2011) at 5–7.

23 The concepts of *gross negligence*, *recklessness*, and *malice* play a more minor role in Canadian tort law.

24 This is known as actual intent. The concepts of constructive and transferred intent are described in Chapter 4.

embarrassing information about a former friend *intentionally* cause damage to person, property, reputation, and privacy, respectively.

Conduct is negligent when the defendant creates a reasonably foreseeable and substantial risk of its consequences. The homeowners who fails to clear ice from the steps to their house, causing visitors to fall and injure themselves; the operator of a public swimming pool who fails to post a warning of the shallow depth of the pool and contributes to the injury of a swimmer who dives in; and the driver of a car who drives in excess of the speed limit and hits another vehicle *negligently* cause damage to either person and property.

Conduct is accidental when the defendant neither desires its consequences nor creates a foreseeable and substantial risk of its consequences.²⁵ The hunter who discharges a firearm in an unpopulated area and wounds a person whom they have no reason to believe was in the vicinity; the person who leaves a dog locked in an automobile, which leads to a passing pedestrian losing the sight of their eye from a glass splinter when the dog breaks a window in the vehicle;²⁶ and the owner of a car driving within the speed limit who hits a child who darts out from between two parked vehicles into the car's path cause personal injuries *accidentally*.

The nature of the defendant's conduct is a vital element in the Canadian law of torts. As a general rule, proof of intentional or negligent conduct is an essential component of tort liability. "No liability without fault" is a maxim that continues to command substantial judicial and public support. There are only a few torts where liability extends to accidental conduct. These torts are known as torts of *strict liability*. They impose liability solely on causation of damage. Courts normally feel obliged to provide some special justification for dispensing with the usual requirement of wrongful conduct.

2) The Nature of the Plaintiff's Loss

Tort law cannot compensate everyone for all the losses generated by the intentional or negligent conduct of others. That would exceed the financial capacity of defendants and their insurers and exhaust the capacity of the legal system to adjudicate the multitude of claims. Consequently,

25 The word "accident" in this context is given a technical meaning of innocent, not wrongful. This must be distinguished from the more common use of the word, meaning an unexpected and untoward event causing loss, which covers both injury caused by fault and injury without fault.

26 If this example seems unrealistic, see *Fardon v Harcourt-Rivington*, [1932] All ER Rep 81 (HL).

scrutiny of the nature of the defendant's conduct is matched by a consideration of the nature of the plaintiff's loss or damage. Awarding compensation for personal injury is, for example, more easily justified than awarding compensation for a person's public embarrassment or humiliation. Consequently, tort law must draw lines between compensable and non-compensable damage. This is often a difficult and contentious task upon which opinions may differ.²⁷ The cases of *Hinz v Berry*²⁸ and *Star Village Tavern v Nield*²⁹ provide good illustrations of the kind of line-drawing that is an essential part of the law of torts.

In *Hinz*, a family of ten went for a drive in the countryside in the family van. They parked on the side of the road to have a picnic. The plaintiff mother and one of her children crossed the road to pick bluebells growing in a nearby field. While they were picking the flowers, there was a terrible accident. A car, driven negligently by the defendant, crashed into the van, killing the plaintiff's spouse and injuring all of her other children. The claims by the family for the loss of financial support resulting from the death of the breadwinning spouse and by the children for their personal injuries posed little difficulty and they were settled without the need of a trial. A number of additional claims brought by the plaintiff were more problematic. They included claims for her grief and sorrow at the loss of her spouse, for her anxiety about the welfare of her children, for her financial stress generated by the death of the family's primary breadwinner, for her stress in adjusting to her future life circumstances, and for the nervous shock she suffered from witnessing the accident. These claims were hotly contested by the defendant. Eventually, the court allowed only the claim for nervous shock suffered as a result of witnessing the accident. It was allowed because the immediate shock of the accident caused her to suffer a clinical depression, which is a *recognizable psychiatric illness*. The line between compensable and non-compensable psychiatric injury was drawn between psychiatric illness and the more transient and minor emotional distress that formed the basis of the other claims. Some people may disagree with the court and feel that some or all of the

27 In some cases, however, the task is neither difficult nor contentious. In *Morland-Jones v Taerk*, 2014 ONSC 3061, for example, a case involving a dispute between neighbours, Morgan J stated at para 26 that "there is no claim for looking at the neighbour's pretty house, parking a car legally but with malintent, engaging in faux photography on a public street, raising objections at a municipal hearing, walking on the sidewalk with a dictaphone in hand or just plain thinking badly of a person who lives nearby."

28 [1970] 2 QB 40 (CA). This English decision reflects Canadian law on the point discussed.

29 (1976), 71 DLR (3d) 439 (Man QB) [*Star Village Tavern*].

plaintiff's other claims should have been allowed. There is, of course, no right or wrong answer to this issue. It is a matter of judicial wisdom and social policy. In cases of psychiatric injury, judges have been influenced by a variety of factors that have caused them to adopt a cautious and conservative approach. One important factor is the realization that recovery for mental distress (as opposed to psychiatric illness) would widen the range of potential plaintiffs considerably and could impose a burden on defendants which might be severe and disproportionate to their degree of negligence. Mental distress claims may also present special difficulties in respect of proof and causation. There may also be a larger number of fraudulent claims than in respect of other kinds of losses. The *Hinz* dichotomy between recognizable psychiatric illness and mental distress was adopted uniformly by Canadian courts in the twentieth century. Judicial attitudes and social policy are not, however, constant. In 2008, the Supreme Court³⁰ introduced a different dichotomy between "serious and prolonged mental disturbance" (compensable) and "ordinary annoyances, anxieties and fears that come with living in a civil society" (non-compensable). The application of this language to the facts of *Hinz* would not likely change the result, but it does herald a moderate and cautious extension of compensable harm.³¹

Another example of this line-drawing is *Star Village Tavern*. In that case, the defendant negligently drove his car into the side of a bridge spanning a river. The bridge, which was owned by the government, was closed for repairs for a number of weeks. The plaintiff owned a bar that drew patrons from a small town on the other side of the river. When the bridge was closed, many of the patrons declined to make the much longer trip to the bar by an alternative route and the bar lost patronage and profits. The bar sued the negligent driver for its loss of profits. The defendant was clearly liable for the property damage to the bridge but should he be liable for the plaintiff's pure economic loss? Courts have approached claims for pure economic loss³² with a great deal of caution. There are a number of reasons for this. A common concern is the sheer volume and magnitude of financial losses that can arise from damage to property upon which many people, other

30 *Mustapha v Culligan of Canada Ltd*, [2008] SCJ No 27. See also *Saadati v Moorhead*, [2017] SCJ No 28, allowing recovery for personality changes and cognitive difficulties suffered by the plaintiff.

31 The liability for the negligent infliction of psychiatric injury is discussed in more detail in Chapter 2.

32 It should be noted that the plaintiff had suffered no property damage and no personal injury. The only loss was a loss of business profits, hence the term pure economic loss.

than the owner, may rely for their financial well-being. Liability for all of these claims may be grossly disproportionate to the degree of the plaintiff's negligence. There are also concerns in respect of the proof of economic losses and causation. Additionally, there is doubt about the wisdom of collecting widespread, moderate, pure economic losses and shifting them to the defendant whose insurer will distribute them in a slightly different, but similarly widespread, manner to all of those who purchase liability insurance. Where to draw the line in respect of economic losses is a continuing problem in the law of torts and it remains to be finally resolved. The plaintiff in *Star Village Tavern* did not recover its economic losses.³³

One might imagine that, given the central role of these two elements (the defendant's conduct and the plaintiff's loss), the law of torts might be contained within several general principles matching the required conduct to the particular kind of loss caused by that conduct. Canadian tort law is, however, made up of a collection of many discrete, unrelated torts which reflects the *ad hoc* and incremental nature of the historical development of English tort law. Some of the individual torts are named after the kind of loss to which they relate (*defamation, privacy, nuisance*), some emphasize certain kinds of wrongful conduct (*negligence, intentional infliction of nervous shock, intimidation*), some are named after the piece of litigation that gave rise to the tort (the rule in *Rylands v Fletcher*), and some refer to the activity from which the wrongful conduct arises (*cattle trespass, conversion, false imprisonment, occupiers' liability*). An analysis of each tort will, nevertheless, indicate that an evaluation of both the nature of the defendant's conduct and the nature of the plaintiff's loss caused by it plays a central role in formulating tort liability.

D. THE OBJECTIVES OF TORT LAW

In recent years, there has been a great deal of debate about the purpose of tort law in Canadian society. There are two contrasting approaches to this issue. The first approach perceives tort law as primarily an ethical system promoting the personal responsibility of wrongdoers for the harm that they have caused to others. The function of tort law is, therefore, primarily to correct individual injustices that have arisen between citizens. The contrasting approach suggests that tort law is a

33 The liability for the negligent infliction of economic loss is canvassed in greater detail in Chapter 3.

legal construct designed to achieve a number of identifiable functions, all of which are in the public interest. Therefore, emphasis is placed on identifying the full range of the objectives of tort law and on evaluating the degree to which these objectives are met. It may loosely be described as a contest between the approach of the “moralists” and that of the “instrumentalists.”

1) The Moralist View

The moralist approach explains tort law as a system of corrective justice based on the ethical principle of personal responsibility for damage caused by wrongdoing.³⁴ Tort law is designed primarily to rectify an imbalance between the litigants caused by the wrongful conduct of the defendant. Tort law is, on this view, grounded in a simple and elegant moral imperative: personal accountability for the consequences of one’s wrongful actions. It is a reflection and embodiment of intuitive ethical and moral principles that are the foundation of a stable, civilized, and humane society. Like all deeply held cultural attitudes and values, the ideas of accountability for wrongdoing and the reparation of harm caused by wrongdoing are so ingrained that they tend to be taken for granted. It is for that reason that many tort principles feel “right” on a visceral and emotional level. Tort law is, consequently, to be valued for itself. It does not need to be justified by what it may or may not achieve in respect of other pragmatic public or private functions. It is a repository of societal values that speak to us about how to live in a crowded community with mutual respect for the interests of others. It protects individual liberty by defining our rights against the wrongful interference of others with our person, property, and other recognized interests. That is enough to explain its appeal, its strength, and its importance to Canadian society.

2) The Instrumentalist View

The instrumentalist approach to tort law is less romantic and idealistic. It identifies the multiplicity of desirable functions of tort law, it evaluates the degree to which these goals are achieved, and it contemplates alternative legal and non-legal vehicles that may attain those goals more effectively and efficiently.³⁵ These questions generate a great deal

34 See EJ Weinrib, “The Special Morality of Tort Law” (1989) 34 McGill LJ 403; Cane, above note 10; and Klar & Jefferies, above note 3 at 14–17.

35 A more detailed description of the functions of tort law is found in Linden et al, above note 3 at 1–33 and Klar & Jefferies, *ibid* at 10–22.

of heated debate but there is some agreement on the aspirations and objectives of tort law, which are set out below.

a) Compensation

The most important function of tort law is to provide compensation for losses caused by conduct that the courts regard as below societal standards. Tort law is designed to restore the plaintiff to the position that she would have been in if the tort had not been committed. Compensation is, therefore, tailored to the particular loss that the individual plaintiff has suffered. It seeks to provide a full indemnity for the plaintiff's losses.

The compensatory power of tort law has been enhanced dramatically by liability insurance. Liability insurance not only protects the defendant from the adverse financial consequences of being held liable in tort, but it also guarantees, to the great advantage of successful plaintiffs, that judgments and settlements within the scope of the defendant's policy will be paid. Almost all defendants in tort cases either carry liability insurance or are self-insurers. To a large degree, therefore, the tort process does not shift loss from the plaintiff to the defendant. The loss is spread or distributed broadly throughout the community to those who purchase liability insurance and to the consumers of goods and services of self-insurers.³⁶

b) Punishment

Tort law also aspires to express society's disapproval of the conduct of wrongdoers who cause harm to other citizens. An award of damages is not only designed to compensate the plaintiff. It also acts as a sanction on the defendant. The punitive power of tort law is diminished to a large degree by liability insurance but there are circumstances where it continues to operate with some vigour. Liability insurance does not normally apply to intentional wrongdoing and, even if the wrongdoer is only negligent, a judgment may exceed the terms of the policy, leaving the balance to be paid by the defendant personally.

c) Deterrence

Tort law aspires to influence the conduct of citizens in order to secure a safer society. By imposing liability for wrongful conduct, it hopes to deter both the defendant and other members of society from acting in a similarly dangerous manner in the future. Three theories of deterrence

³⁶ This has been referred to as a hidden tax levied on virtually all goods, services, and activities: see PW Huber, *Liability: The Legal Revolution and Its Consequences* (New York: Basic Books, 1988) at 3.

contribute to the accident prevention role of tort law: specific deterrence, general deterrence, and market deterrence.

i) *Specific Deterrence*

Specific deterrence operates against the individual defendant and is an aspect of the punitive function of tort law. The award of damages operates to alert the defendant that his conduct is wrongful and unacceptable. The defendant is thereby encouraged to change his future behaviour in a way that will reduce the chance of causing similar future losses. Tort liability has a powerful deterrent effect when the judgment is a charge on the defendant's personal wealth, but its force is dissipated when a liability insurer pays the judgment. However, there may be some residual deterrent impact on insured defendants. The cost of the defendant's liability insurance may rise after a successful claim. The defendant's deductible may be increased. The insurer may refuse future coverage. The insurer may pressure the defendant to adopt better risk-management practices. The defendant may also be particularly sensitive to a publicized finding of liability. Professionals and manufacturers are unlikely to welcome further judicial findings of wrongful conduct on their part even if they are insured. Nevertheless, the specific deterrence of insured defendants is unlikely to play a major role in accident prevention.

ii) *General Deterrence*

There is a great deal of debate about the general deterrent effect of tort law. The theory is that the general threat of tort liability encourages citizens to adopt safe practices and avoid conduct likely to cause damage to others. The general deterrent effect of tort law may be powerful in exceptional circumstances. Uninsured persons with a good understanding of tort law may adjust their planned conduct and behaviour to avoid tort liability. Defendants who are hypersensitive to a finding of liability, such as health-care professionals, may also be encouraged to take steps to prevent accidents. In other situations, however, the general deterrent effect of tort law is at best weak.³⁷ Many people have little or no understanding of tort law; a great deal of tort litigation arises from spontaneous, unreflective conduct; few people ever contemplate the possibility of injuring others; and most people whose activities carry a risk of injury to others are protected by liability insurance. In

37 See EP Belobaba, *Products Liability and Personal Injury Compensation in Canada: Towards Integration and Rationalization* (Ottawa: Consumer and Corporate Affairs Canada, 1983), and SD Sugarman, "Doing Away with Tort Law" (1985) 73 Cal L Rev 558.

general, our conduct and our concern for others probably reflect psychological traits, attitudes, habits, and a personal code of conduct rather than a pervasive concern to avoid tort liability. In some activities, general deterrence would seem to be marginal. Those individuals who are not deterred from bad driving by a concern for their own safety, or by a desire to avoid a criminal prosecution, the possible loss of their driver's licence, or damage to their own vehicle, are unlikely to be deterred by the prospect of their liability insurer having to pay for any damage they may cause to others.

iii) *Market Deterrence*

The theory of market deterrence³⁸ is one that is most applicable to selected activities such as the manufacture of goods and the commercial supply of services. The central premise is that tort liability allocates accident costs flowing from substandard conduct to the defendant producer, and the consequential increase in the price of the defendant's goods or services will encourage both the defendant and consumers to respond in a way that will reduce accidents. First, the defendant is encouraged to reduce its liability costs by making a safer product in order to remain competitive with other producers who have better accident records. If the defendant does not respond and reduce liability costs, consumers will purchase the cheaper, safer products from the defendant's competitors and the defendant may be forced out of business. Second, if all the suppliers of a line of goods or services have uncontrollably high liability costs or refuse to reduce liability costs, consumers may spend their money on other products or activities that are cheaper and safer. One way or another, dangerous products and activities will be replaced by safer ones. The effectiveness of market deterrence depends to some degree upon sophisticated consumers, an efficient tort liability process (preferably strict liability), and a sufficient price differential to affect consumer choice.

d) *Psychological Dimensions*

There are psychological dimensions to tort liability. The infliction of injury can generate an intense psychological response from the victim. Even a minor "fender-bender" can give rise to lost tempers and harsh language. Anger and a desire for vengeance and retribution may not be the most admired of human traits, but they are a reality. Tort law provides a civilized and non-violent way to allow the victims of

38 G Calabresi, *The Costs of Accidents: A Legal and Economic Analysis* (New Haven, CT: Yale University Press, 1970).

wrongdoing to secure some appeasement, retribution, and accountability for their suffering.

e) Education

Tort law has both a general and a specific educational role. The tort system speaks *generally* to citizens of the importance of compliance with reasonable standards of conduct in the interests of the safety of others. This general educative role may operate directly on litigants and others involved in tort litigation and it may influence indirectly those who have some knowledge of the tort system or are informed of its operation by the media.

Tort law also has a *specific* educational role. From time to time, litigation arises that is of particular interest to a segment of society. A court may be called upon to address a particularly contentious issue affecting a small group, to rule on the current practices of a profession or industry, to determine liability in a novel circumstance, or to rule on a test case that challenges the behaviour of a public or private institution. In these cases, the educational function of tort law may not extend to the public at large, but it does extend beyond the litigants and may profoundly affect conduct that has an impact on the public's well-being and safety. The coverage in professional journals, trade publications, and the popular media given to the Supreme Court cases dealing with the need for physicians to secure an informed consent to medical treatment,³⁹ the obligation of bar owners to their intoxicated patrons,⁴⁰ the responsibility of manufacturers to tell consumers about dangers arising from their use of products,⁴¹ the obligations of boat owners to their passengers, the obligation of police officers to those suspected of committing crimes,⁴² and the potential liability of government for services it provides to the public⁴³ was informative and educational for all persons involved in those activities.

f) The Ombudsperson Role

The role of tort law as ombudsperson has been identified and promoted by Linden J.⁴⁴ He has pointed out that tort law is well placed to challenge the wrongful and harmful behaviour of the most powerful persons and institutions in Canada. From time to time, concern is expressed about

39 *Reibl v Hughes*, [1980] 2 SCR 880.

40 *Jordan House Ltd v Menow* (1973), [1974] SCR 239.

41 *Lambert v Lastoplex Chemicals Co* (1971), [1972] SCR 569.

42 *Hill v Hamilton-Wentworth Regional Police Services*, [2007] SCJ No 41.

43 *Just v British Columbia*, [1989] 2 SCR 1228.

44 Linden et al, above note 3 at 23–27.

the accountability of the rich and powerful in society and the effectiveness of public law controls on their activities. In these situations, the accountability and sanctions of tort law may be advantageous because tort litigation can be initiated by private individuals and it is adjudicated by judges who are independent of political control. All that a person needs is a valid tort claim and the money to press that claim and the most powerful can be made to account for their wrongful conduct.⁴⁵ Litigation in North America by consumers against the manufacturers of tobacco, asbestos, firearms, opioids, silica, lead paint, and fast food for harm caused by their products; against governments for their failure to act expeditiously and effectively against the spread of SARS and West Nile Virus; against airlines by passengers experiencing deep vein thrombosis on long-haul flights; and against casinos for the economic hardship suffered by those addicted to gambling are illustrative of this aspect of tort law. Much of this litigation was unsuccessful but it has had a significant political and social impact, leading to safer products and practices. The decades of tobacco litigation, for example, resulted in few individuals receiving compensation but information disclosed in the litigation process and the attention drawn to the conduct of the defendant corporations has contributed to a societal and political shift in attitudes towards smoking.⁴⁶

There is little agreement as to the relative importance of the various functions of tort law and there is little empirical evidence on the extent to which tort law achieves its objectives. Much depends upon the particular area of tort law and the prevalence of liability insurance.

E. PERSONAL INJURY, TORT LAW, AND OTHER COMPENSATORY VEHICLES

It has been noted that the law of torts deals with a wide range of damage and losses. It is, however, personal injury and fatality claims that have presented the most significant challenge to the Canadian law of torts. The twentieth century witnessed a rising tide of accidental⁴⁷ personal

45 Justice Linden identifies governmental officials, including the police, manufacturers, polluters, and professionals, as potential targets for this supervisory and regulatory role of tort law.

46 But see *Imperial Tobacco Canada Ltée c Conseil québécois sur le tabac et la santé*, [2019] JQ no 1387, where the Quebec Court of Appeal upheld a successful class action brought by smokers against tobacco companies.

47 The word “accidental” in this context means unexpected. The word is not used to contrast innocent from wrongful conduct of a defendant.

injury and death and an associated public demand for security from the personal and economic consequences of it. The law of torts responded to this challenge. The concept of fault-based liability was expanded to cover the widest range of societal activities, and virtually every citizen is subject to a duty of care to prevent foreseeable injuries to others. Moreover, in the course of the twentieth century, the principles of tort law were liberalized to facilitate claims and expand the range and quantum of personal injury compensation. Tort law was stretched to its conceptual limits by a humane and sympathetic judiciary to provide as generous a protection from the consequences of injury and death as is possible in a fault-based system. This process was encouraged and facilitated by the prevalence of liability insurance and by an acute judicial awareness of the power of liability insurance to spread accident costs throughout society.

In spite of these efforts, tort law has proved incapable of providing the degree of security from personal injury losses that the public has demanded. This is largely due to the inherent conceptual limitations of fault as a compensatory mechanism. A fault system can never provide universal coverage and compensation for all accident victims. It is designed to compensate only those who have been injured as a result of wrongdoing. Those who suffer personal injury as a result of a defendant's innocent conduct, their own carelessness, or bad luck are beyond the scope of conventional tort remedies. In addition to the inherent limitations of tort coverage, there has been criticism about the manner in which tort law processes personal injury claims. As a compensatory mechanism, tort litigation is slow, expensive, and unpredictable and some actions fail because of procedural obstacles, a lack of evidence of the defendant's fault, a lack of resources, or a lack of will to embark on the difficult adversarial process of civil litigation.

The limitations and shortcomings of the tort process have led to two contrasting developments. First, there were a number of governmental initiatives throughout the course of the twentieth century creating alternative or supplementary compensatory vehicles designed to provide compensation to a broader range of accident victims. These initiatives were prompted by public demand for broader and improved protection from random accident losses and by ideas of collective security which lie at the heart of the social welfare system. Second, the incomplete coverage of both tort and social welfare systems has led to a much greater use of private sector first-party insurance instruments⁴⁸ tailored to individual circumstances for the protection of personal

48 First-party insurance is a contract under which the insurer promises to pay a sum of money on the occurrence of a particular event, such as accidental death, injury, or property damage, in return for the payment of premiums by the insured.

financial security. The limitations of the social welfare state and the uneven scope of tort liability have spawned a trend towards greater personal responsibility for the security of one's self and family from accidental injury and death. A brief description of these two developments provides some perspective on the place and role of tort law in the overall societal response to personal injury and fatality losses.

1) Governmental Initiatives

The first governmental initiative was the introduction early in the twentieth century of workers' compensation schemes that replaced tort law in respect of workplace accidents and industrial disease. This development was prompted by the inadequate coverage and compensation provided by tort law to disabled workers. Workers gave up their tort remedies⁴⁹ in return for guaranteed no-fault compensation. The provincial schemes, which are administered by a public body and funded by levies paid by employers, provide compensation for lost income, rehabilitation expenses, and other associated losses.

Later in the century, in spite of the *compulsory* third-party liability insurance of drivers and owners of cars, similar concerns were expressed about the adequacy of tort law to compensate the victims of automobile accidents. The response of the various provincial governments has not been uniform. Most provinces have introduced either *add-on* no-fault schemes that pay moderate no-fault benefits to all the victims of automobile accidents while preserving the right to sue in tort, or *modified* no-fault plans that restrict injured persons to no-fault benefits unless their injuries or losses exceed a certain threshold of seriousness. Manitoba and Quebec have completely replaced the tort system with a *pure no-fault* system paying income replacement benefits, other associated costs or expenses, and compensation for permanent disability. Saskatchewan uniquely provides a choice between pure no-fault coverage and a tort option combined with lower no fault benefits.⁵⁰ Some of these plans are delivered by the private sector. Others are delivered through public corporations. Their unifying characteristic is the desire to expand the number of victims of automobile

49 A tort claim may still be available to an injured worker against a person other than an employer or employee covered by the scheme.

50 Saskatchewan Government Insurance (SGI) indicated that as of 31 December 2013, there were 6,294 customers with tort coverage and 1,134,724 customers with no fault coverage.

accidents receiving compensation and to deliver that compensation more efficiently.⁵¹

There has also been legislative activity in respect of criminal violence. The victims of crime have a notoriously difficult time securing compensation from the perpetrators of criminal violence. Often the offender is not known and when they are known and sued, it is unlikely that a tort judgment will be paid. The victims of crime almost always have a tort claim but rarely receive any compensation from it. Consequently, all provinces have introduced criminal injury compensation schemes that provide compensation to the victims of crime on a no-fault basis. They are funded by general tax revenues and normally provide income replacement benefits, reimburse various expenses arising from the injury, and compensate pain and suffering. The tort action remains available to those victims who wish to pursue it.

There are also a number of federal and provincial social welfare programs such as Employment Insurance, the Canada Pension Plan, health-services insurance, and social allowances that assist accident victims. These programs were not initiated primarily to assist the victims of accidents but they often provide important financial support for them.

Most recently, there have been a number of discrete governmental initiatives designed to settle claims of various categories of persons who have suffered loss from alleged wrongdoing. Special arrangements have been made to assist persons who contracted HIV and hepatitis C from the Canadian blood supply, persons sterilized without their consent under Alberta's old eugenics law, persons harmed by physical and sexual abuse in residential institutions in Nova Scotia, persons injured by the unsafe water supply in Walkerton, Ontario, Aboriginal persons who suffered physical and sexual abuse in residential schools,⁵² and

51 General information about each of the provincial automobile insurance plans is available on the Insurance Bureau of Canada website, online: www.ibc.ca.

52 In 2006, after more than a decade of individual and class action lawsuits and various settlement proposals, a comprehensive settlement was reached in favour of an estimated 80,000 former students of the Aboriginal residential school system. It includes a common experience pain award of \$10,000 per claimant for the first year in a residential school and \$3,000 for each additional year; additional awards under an independent assessment process for those students who suffered serious sexual or physical abuse; and funds for an Aboriginal healing foundation and commemoration, for a truth and reconciliation process, and for legal fees. In 2016, a settlement was also reached with students who attended residential schools in Newfoundland and Labrador after the province joined confederation in 1949. In 2017, the federal government allocated \$750 million to compensate status Indians and Inuit persons who were taken as children from their families and placed in non-Indigenous homes in what is known as the "60s scoop." The children lost not only their families, but also their communities,

those who suffered deformities caused by the federally approved drug thalidomide.⁵³ Although these various initiatives are unrelated, they do seem to be prompted by similar circumstances. First, they all relate to tragic events or episodes that damaged large numbers of utterly innocent persons. Second, the mass claimants have potential tort actions, but these actions are so difficult, uncertain, and expensive to litigate that a global settlement is an attractive option. Third, these persons suffered harm as a consequence of governmental activities or activities in which there was strong governmental involvement, and either federal or provincial governments face potential tort liabilities. Fourth, there is very strong public sympathy and support for these people and a political consensus that they should be directly compensated by public money without the need to litigate the matter.

The foregoing governmental initiatives, collectively, are responsible for the distribution of a huge amount of money to vast numbers of injured persons. They have intruded into the traditional realm of tort law and have eroded its significance—most dramatically in respect of workplace accidents and automobile accidents, the two activities that generate most personal injury. At one time, it was expected by some that this growing tide of governmental intervention would ultimately lead to the replacement of tort law and the other compensatory schemes with a universal governmental no-fault accident compensation scheme.⁵⁴ However, the lack of political will and the entrenched interests of the insurance industry and the legal profession make that unlikely in the foreseeable future.

2) Private Sector First-Party Insurance

Currently, there is greater interest in the potential of the private sector insurance industry to provide more complete and affordable first-party insurance instruments covering all kinds of personal disability. The trend towards more private protection is one that is likely to accelerate in this century. Life insurance is the most established and common form of first-party insurance. Disability insurance is less common, particularly on an individual basis, but there has been considerable growth

language, and culture. Civil liability was recognized in *Brown v Canada (Attorney General)*, [2017] OJ No 692 (SCJ).

53 In March 2015, the federal government announced a \$180-million compensation package, which includes a one-time payment of \$125,000 to each of the ninety-five survivors and \$168 million for medical assistance.

54 New Zealand is the only common law jurisdiction to implement a universal no-fault accident compensation scheme.

in group plans for employees, school children, participants in organized sport, holders of credit cards, and members of professional, alumni, and other organizations. In 2012, the Canadian Life and Health Insurance Association reported that the industry provided financial security products to about 27 million Canadians and their dependants and paid out \$66.4 billion a year in benefits.⁵⁵ One respected academic⁵⁶ has even suggested that both tort and most governmental compensation plans for accidental injury and death might be abolished, leaving citizens to make their own financial security arrangements against physical disability with private insurers on a first-party basis. That is unlikely to occur in Canada in the foreseeable future but it indicates renewed interest in the private sector as an engine for greater disability protection.

The result of these various developments is that the current Canadian system of compensation for accidental personal injury and death is an amalgam of tort liability, no-fault schemes, and first-party insurance. In terms of the number of persons compensated and the amount of money provided, the no-fault plans and private insurance dwarf the tort process. This is a perspective that may not be immediately apparent in the conventional study of tort law. Lawyers tend to regard tort law as having central importance in the field of accident compensation. It is in fact a minor player whose importance continues to diminish. This perspective is essential to understanding and evaluating the place, role, and future of tort law in the field of personal injury and fatality compensation.

F. THE ORGANIZATION OF TORT LAW

It was noted earlier that tort law is made up of a somewhat disorganized congregation of individual torts. Not surprisingly, there is no conventional way of describing this area of the law. One may describe tort law in its historical context and trace its development chronologically. One may identify the interests that tort law protects, such as personal safety, privacy, and property interests, and describe the torts that address those interests. One may focus on conduct and arrange torts in groups of intentional torts, negligent torts, and torts of strict liability. The choice is largely arbitrary. This book adopts the third option,

55 "Industry Profile," Canadian Life and Health Insurance Association, online: www.clhia.ca

56 PS Atiyah, "Personal Injuries in the Twenty-First Century: Thinking the Unthinkable" in P Birks, ed, *Wrongs and Remedies in the Twenty-First Century* (Oxford: Clarendon Press, 1996) at 1.

but it begins with negligence and then deals with the intentional torts before it turns to the torts of strict liability. This approach recognizes the dominance of the tort of negligence in the landscape of Canadian tort law.⁵⁷ It is not only of central importance in its own right, but it also exerts a powerful influence on all other areas of tortious liability. Consequently, the Canadian law of torts can best be understood by considering the tort of negligence before the other bases of tort liability. Although the torts of nuisance and defamation may be considered torts of strict liability, they are given discrete consideration. Nuisance is, in fact, a confusing mixture of negligence and strict liability concepts, and defamation, the most technical of all the torts, is replete with unique concepts and principles.

We are now ready to embark on a discussion of the essential principles of the Canadian law of torts and the social policies that support it.

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